Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	Nike, Inc - 56
Country	Malaysia
Assessment Date	10/6/2025
Assessment Company	OneStep Viet Co., Limited - 200005

Workforce Summary

Number of Workers	1115
Percentage female	32 %
Primary Languages	English, Malay, Burmese, Indonesia, Khmer, Nepal, Sri

Wage Data information

Monthly minimum wage in country at time of assessment	The legal monthly minimum wage in Malaysia in 2024 is 1,500 RM.
GLWC living wage benchmark for the country or relevant region at time of assessment	N/A

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	5
Employment Relationship (ER)	0
Hours Of Work (HOW)	0
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	0

Violations per Category	Violated Benchmarks
Immediate Action Required	5
Sustainable Improvement Required	0
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

24-Hour Findings Summary

24h Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	2
Employment Relationship (ER)	0
Hours Of Work (HOW)	0
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	0

Details 24h Findings

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.5.1.2
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: installation and maintenance of fire alarms;
Finding Details	(24hr) HSEB_FE_Q24 - Does the factory have a functional emergency alarm system to notify workers of emergencies? Answer: No, 24h Finding Explanation: Fire alarm system: a. One out of four tested fire detectors at the worker dormitory is not functioning. b. The back-up battery of one (1) out of three (3) observed fire alarm control panels is found to be out of order due to acid leakage at the Dormitory Building No. 94. Remark: this issue is fixed on the second day of the assessment.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.6.1
Benchmark Details	All safety and medical equipment (e.g. fire fighting equipment, first aid kits) shall be available in sufficient numbers throughout the workplace, maintained and stocked as prescribed, and easily accessible to workers.

Finding Details	(24hr) HSEB_FE_Q13 - Is all fire equipment inspected and maintained regularly? Answer: No, 24h Finding Explanation: Firefighting equipment: a. One (1) out of two (2) tested fire hose reels was not fully functioning because the hose was stuck inside the reel, preventing proper water flow during testing. Remark: the issue is fixed by the service provider on the same day. b. Two out of ten observed fire extinguishers are not checked monthly, the latest check was on August 15, 2025.

Assessment Results

Health, Safety And Environment (HSE)	
Benchmark ID	HSE.5.1
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all of the following elements: posting evacuation plans; the installation and maintenance of fire alarms; the installation and maintenance of emergency lighting; ensuring aisles/exits are not blocked and that workers are not blocked within their workstations; employee education and training; and evacuation procedures and fire drills.
Finding Details	During the assessment, it was observed that: 1. No “No Fire” or “No Smoking” warning signs were posted at the industrial wastewater treatment plant where two oxygen cylinders are stored. 2. One of the two exit doors in the packing section (third and fourth floors of the production workshop) lacked emergency lighting and an exit sign; and (3) exit aisles on the second floor (canteen) and the third floor (production workshop) were not fully marked with identification lines and direction arrows.
Recommendations for Immediate Action	1. Post visible “No Smoking” signs at the wastewater treatment plant and all areas with flammable materials. 2. Install emergency lights and exit signs (“KELUAR”) at every exit door. 3. Clearly mark all evacuation routes, including lines and arrows, throughout the canteen and production floors.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	1. Nil 2 and 3. Uniform Building By-Laws 1984, Clause 172

Benchmark ID	HSE.5.1.2
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following elements: installation and maintenance of fire alarms;
Finding Details	The fire alarm system at the dormitory had deficiencies: 1. One out of four tested fire detectors was not functioning. 2. The backup battery in one of three fire alarm control panels at Dormitory Building No. 94 was out of order due to acid leakage. Remark: this issue was fixed on the second day of the assessment.

Recommendations for Immediate Action	1. Conduct regular inspections and maintenance of all fire detectors and fire alarm control panels, ensuring backup batteries are operational and replaced immediately if damaged or leaking. 2. Include regular re-testing to confirm proper functionality.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Uniform Building By-Laws 1984, Clause 238.

Benchmark ID	HSE.9.1
Benchmark Details	All chemicals and hazardous substances shall be properly labeled and stored in secure and ventilated areas and disposed of in a safe and legal manner, in accordance with applicable laws and international standards.
Finding Details	About 60% of chemical containers in both chemical storage areas were labeled only in English. The two persons in charge confirmed they could not read or speak English, posing an immediate safety and communication risk in chemical handling.
Recommendations for Immediate Action	Ensure all chemical containers include labels in the local language that clearly indicate the chemical name and main hazards, so workers can safely identify and handle the substances.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Occupational Safety and Health (Use and Standards Of Exposure Of Chemicals Hazardous To Health) Regulations 2000 Regulation 29

Benchmark ID	HSE.6.1
Benchmark Details	All safety and medical equipment (e.g. fire fighting equipment, first aid kits) shall be available in sufficient numbers throughout the workplace, maintained and stocked as prescribed, and easily accessible to workers.
Finding Details	Firefighting equipment was not fully maintained: 1. One out of two tested fire hose reels was not functioning properly because the hose was stuck inside the reel, restricting water flow. 2. Two of ten observed fire extinguishers had not been checked since August 15, 2025.

Recommendations for Immediate Action	1. Schedule and document regular inspections and maintenance for all firefighting equipment, including hose reels and extinguishers. 2. Repair or replace any defective units promptly to ensure readiness during emergencies.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Uniform Building By-Laws 1984, Clause 244; Hydraulic Hose Reels BS 5306-1: 1976, Clause 15.2.1 b. Uniform Building By-Laws 1984, Clause 227

Benchmark ID	HSE.18.3.1
Benchmark Details	Medicines of which the expiration date has passed must be replaced immediately and disposed of in a safe manner.
Finding Details	The first aid kit located at the welding area did not contain burn treatment cream, as required by the first aid checklist. Remark: this issue was fixed on the second day of the assessment.
Recommendations for Immediate Action	Ensure all first aid kits are fully stocked in accordance with the approved checklist, including burn treatment cream in hot work (welding) areas.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Nil